

KELANI TYRES PLC

(Reg: No. PQ 123)

INTERIM FINANCIAL STATEMENTS

FOR SIX MONTHS ENDED SEPTEMBER 30, 2020



Corporate Office
203, Union Place
Colombo 02.

KELANI TYRES PLC AND ITS GROUP

CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME

(all amounts in Sri Lankan Rupees thousands)

	Group		Company		Group		Company		
	Apr. - Sep.		Apr. - Sep.		Jul. - Sep.		Jul. - Sep.		
	2020 <i>(Un audited)</i>	2019 <i>(Audited)</i>	2020 <i>(Un audited)</i>	2019 <i>(Audited)</i>	2020	2019	2020	2019	
Revenue	59,909	154,264	59,438	152,429	15,216	54,085	14,987	53,197	
Direct costs	(53,986)	(139,335)	(53,548)	(138,710)	(13,720)	(48,703)	(13,502)	(48,409)	
Gross margin	5,924	14,928	5,890	13,718	1,496	5,382	1,485	4,787	
Other operating income	3,723	4,825	154,223	261,711	1,940	2,970	152,440	259,862	
Administrative costs	(30,919)	(25,634)	(30,896)	(25,612)	(25,392)	(19,250)	(25,375)	(19,234)	
Management Expenses	(17,703)	(19,156)	(17,703)	(19,156)	(9,063)	(10,433)	(9,063)	(10,433)	
Depreciation	(4,135)	(4,345)	(4,135)	(4,345)	(1,952)	(2,172)	(1,952)	(2,172)	
Operating profit	(43,110)	(29,381)	107,379	226,317	(32,970)	(23,504)	117,536	232,810	
Finance Income	7,625	3,087	7,625	3,087	4,701	2,148	4,701	2,148	
Finance costs	(5,128)	(4,474)	(5,128)	(4,437)	(2,461)	(2,155)	(2,461)	(2,145)	
Profit/(Loss) before tax	(40,614)	(30,768)	109,876	224,967	(30,730)	(23,510)	119,776	232,814	
Tax	-	-	-	-	-	-	-	-	
Profit/(Loss) after tax	(40,614)	(30,768)	109,876	224,967	(30,730)	(23,510)	119,776	232,814	
Share of results of JV	437,825	269,933	-	-	346,468	132,846	-	-	
Profit/(Loss) for the period	397,212	239,165	109,876	224,967	315,738	109,336	-	119,776	232,814
Other comprehensive income:	-	-	-	-	-	-	-	-	
Items that may be subsequently reclassified to profit or (loss)									
Share of other comprehensive - -Income/expenses from Joint Venture	(1,035)	462	-	-	(1,552)	242	-	-	
Total comprehensive income - -for the period, net of tax	396,177	239,627	109,876	224,967	314,187	109,578	119,776	232,814	
Earning per share (for the period)	4.94	2.97	1.37	2.80	3.93	1.36	1.49	2.90	

KELANI TYRES PLC AND ITS GROUP
CONSOLIDATED STATEMENT OF FINANCIAL POSSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	30-09-2020	31-03-2020	30-09-2020	31-03-2020
	<i>(un-audited)</i>	<i>(Audited)</i>	<i>(un-audited)</i>	<i>(Audited)</i>
ASSETS				
Non-current assets				
Property, plant and equipment	36,637	41,210	37,598	41,734
Investment Property	439,824	439,824	439,824	439,824
Investments in subsidiaries	-	-	10	10
Investment in JV	4,184,828	3,898,538	139,607	139,607
	4,661,289	4,379,572	617,039	621,175
Current assets				
Trade and other receivables	408,200	676,878	407,908	676,097
Income Tax Refund	400	400	-	-
Cash and cash equivalents	534,848	185,410	532,203	183,453
	943,447	862,688	940,110	859,550
Total assets	5,604,737	5,242,260	1,557,149	1,480,725
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	971	971	971	971
Other reserves	486,636	486,636	-	-
Retained earnings	4,596,852	4,200,675	1,035,733	925,858
Total equity	5,486,459	5,090,282	1,438,704	1,328,829
Non - current liabilities				
Borrowings	15,833	20,833	15,833	20,833
Retirement benefit obligations	6,730	6,730	6,730	6,730
	22,563	27,563	22,563	27,563
Current liabilities				
Trade and other payables	47,088	50,571	47,255	50,489
Borrowings	10,000	10,000	10,000	10,000
Bank Overdraft	38,627	63,844	38,627	63,844
	95,715	124,415	95,882	124,333
Total liabilities	118,278	151,978	118,445	151,896
Total equity and liabilities	5,604,737	5,242,260	1,557,149	1,480,725
Net Asset Value Per share	68.24	63.31	17.89	16.53

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

Sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

15th October 2020

Sgd

(Mrs). S. S Jayatilaka

Director

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (audited)	402,000	971	-	579,660	982,630
Profit for the Period	-	-	-	224,967	224,967
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 30th Sep. 2019 (audited)	402,000	971	-	603,627	1,006,598
Balance at 1 April 2020 (audited)	402,000	971	-	925,858	1,328,829
Profit for the Period	-	-	-	109,876	109,876
Balance at 30th Sep. 2020 (un-audited)	402,000	971	-	1,035,733	1,438,704

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Group

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (audited)	402,000	971	486,636	3,961,449	4,851,056
Profit for the Period	-	-	-	239,165	239,165
Other comprehensive income	-	-	-	462	462
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 30th Sep. 2019 (audited)	402,000	971	486,636	4,000,077	4,889,683
Balance at 1 April 2020 (audited)	402,000	971	486,636	4,200,675	5,090,282
Profit for the Period	-	-	-	397,212	397,212
Other comprehensive income	-	-	-	(1,035)	(1,035)
Balance at 30th Sep. 2020 (un-audited)	402,000	971	486,636	4,596,852	5,486,459

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Six months ended 30 Sep. 2020		Six months ended 30 Sep. 2019	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	226,658	225,969	1,795	606
Interest received	7,625	7,625	3,087	3,087
Interest paid	(5,128)	(5,128)	(4,474)	(4,437)
Net cash generated from (used in) operating activities	229,154	228,466	409	(744)
Cash flows from investing activities				
Dividend received	150,500	150,500	258,000	258,000
Proceeds from sale of property, plant and equipment	-	-	1,177	-
Net cash (used in)/generated from investing activities	150,500	150,500	259,177	258,000
Cash flows from financing activities				
Dividend payment	-	-	(201,000)	(201,000)
Change in Bank borrowings	(5,000)	(5,000)	34,890	35,833
Net cash (used in)/generated from financing activities	(5,000)	(5,000)	(166,110)	(165,167)
Net (decrease)/increase in cash and cash equivalents	374,654	373,966	93,475	92,089
Movement in cash and cash equivalents				
At the start of period	121,567	119,610	(32,869)	(33,601)
(Decrease)/increase	374,654	373,966	93,475	92,089
At the end of period	496,221	493,576	60,606	58,488

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubs locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (LKAS-34) Interim Financial reporting. These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2020,

3 Significant Accounting Policies

The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2020 and the presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of the current year.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	9/30/20	3/31/20	3/31/19
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by joint venture CEAT SRI LANKA as follows:

	Rs.
Profit before Tax JV	928,051,615
Less: Provision for Tax	(52,400,771)
Profit after Tax	875,650,843

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	9/30/20	9/30/19	9/30/20	9/30/19
Dividend received/receivable from the JV	150,500	258,000	150,500	258,000
Dividend declared & paid to shareholders	Nil	201,000	Nil	201,000
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	Nil	2.50	Nil	2.50

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the Six months ended 30th Sep.

	2020	2019
	Rs.	Rs.
Highest Price (28/09/20 & 29/07/19)	84.00	44.90
Lowest Price (13/07/20 & 03/07/19)	39.00	34.80
Last Traded Price	79.60	40.00

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 30-09-2020

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	36,975,523	45.989
2	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	6,473,917	8.052
3	MR. UDESHI H M	4,132,857	5.140
4	MR. GANARAJAH N	2,718,497	3.381
5	MR. R. C. D. DE SILVA	1,801,104	2.240
6	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,665,016	2.071
7	EMPLOYEES PROVIDENT FUND	1,553,800	1.933
8	SEYLAN BANK PLC / ARRC CAPITAL (PVT) LTD	851,677	1.059
9	BANK OF CEYLON NO. 1 ACCOUNT	816,213	1.015
10	MR. PUSPARAJ N. & MRS. PUSPARAJ. K	766,049	0.953
11	MRS. SARASWATHI V.	700,000	0.871
12	SEYLAN BANK PLC / W. D. N. H. PERERA	555,252	0.691
13	Mr. VASUDEVAN . S	500,000	0.622
14	ARUNA ENTERPRISES (PVT) LTD	437,600	0.544
15	MR. POBRAN B.	350,240	0.436
16	COMMERCIAL BANK OF CEYLON PLC / G. S. N. PEIRIS	322,100	0.401
17	RANSIRI ENTERPRISES (PRIVATE) LIMITED	310,000	0.386
18	MRS S. M. FERNANDO	305,000	0.379
19	MRS. MULJIE. N	291,694	0.363
20	Mr. TIRATHDAS A.	280,000	0.348

PUBLIC HOLDING

The percentage of shares held by the public as at 30th September 2020 is 51.760% comprising of 8,685 shareholders
(30th September 2019 - 51.844% comprising of 8,223 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION AS AT 30TH SEPTEMBER 2020 - RS. 3,312,588,466/80

The Company is in compliance with Option 4 of Section 7.13.1 (a) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 30TH SEPTEMBER 2020

Names of Directors	No of Shares as at 30thSep. 2020	%
Mr. Chanaka De Silva	1,801,104	2.240%
Mr. Rohan T. Fernando	Nil	
Mr. T. Bevan Perera	1920	0.002%
Mr. D. S. Kamantha Amarasekera	Nil	
Mrs. S. S. Jayatilaka	240	0.000%
Mr. Eradj T. Fernando	Nil	
Mr. R. P. Weerasooria	Nil	

KELANI TYRES PLC AND ITS GROUP*NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):***Joint Venture Performance**

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	30-09-2020	30-09-2019
Non-Current Assets	6,230,417	5,616,716
Current Assets	6,254,099	5,301,905
Total Assets	12,484,516	10,918,621
Capital and Reserves	8,369,657	8,039,257
Non-Current Liabilities	1,451,818	1,218,528
Current Liabilities	2,663,042	1,660,836
Total Equity & Liabilities	12,484,516	10,918,621

Summarised Income Statement

	2020 Apr. to Sep.	2019 Apr. to Sep.
Production (MT)	7,507	7,706
Total Sales (MT)	7,492	7,570
Domestic Sales	4,632,247	4,117,932
Export Sales	464,663	778,182
Total Sales	5,096,910	4,896,114
Cost of Sales	(3,516,268)	(3,655,965)
Gross Profit	1,580,641	1,240,149
Distribution/Administrative Cost	(687,539)	(589,311)
Finance Cost less income	34,908	49,453
Other Operating Income	41	16,401
Pofit BeforeTax	928,052	716,691
Taxation	(52,401)	(176,825)
Profit for the period	875,651	539,866
Other Comprehensive income/(Expenses)	(2,070)	925
Total Comprehensive income	873,581	540,791